



Controlling

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What Is Controlling

- **Controlling:** management function that involves monitoring, comparing, and correcting work performance

Planning-Controlling Link



Exhibit 18-1 shows how controlling provides a critical link back to planning.

The Control Process

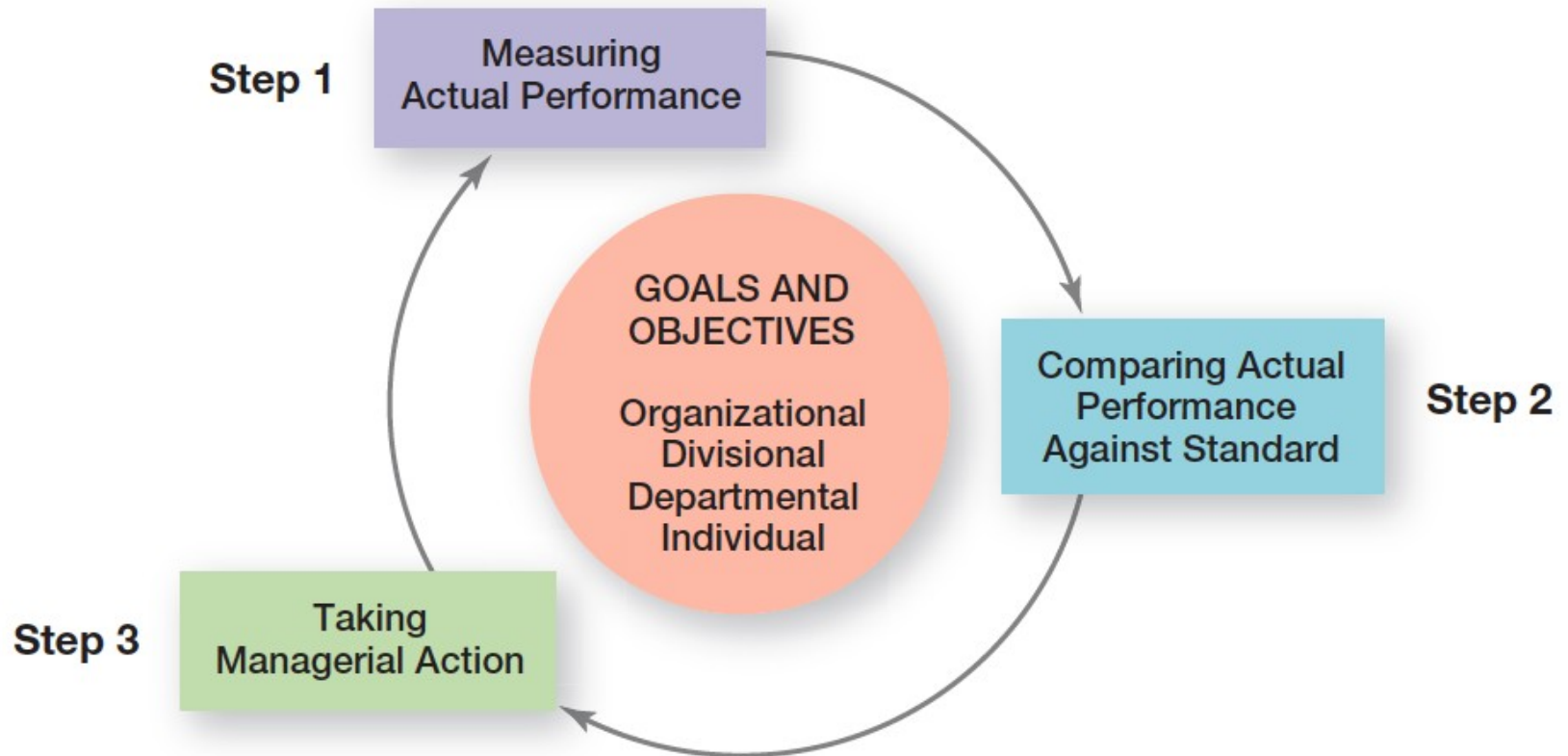


Exhibit 18-2 illustrates the three-step control process.



Taking Managerial Action

- Correct actual performance
 - **Immediate corrective action:** corrective action that corrects problems at once to get performance back on track
 - **Basic corrective action:** corrective action that looks at how and why performance deviated before correcting the source of deviation
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Revise the Standard

- If performance consistently exceeds the goal, then a manager should look at whether the goal is too easy and needs to be raised.
 - Managers must be cautious about revising a standard downward.
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Feedforward/Concurrent/Feedback Controls

- **Feedforward control:** control that takes place before a work activity is done
 - **Concurrent control:** control that takes place while a work activity is in progress. **Management by walking around** - a term used to describe when a manager is out in the work area interacting directly with employees
 - **Feedback control:** control that takes place after a work activity is done
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Types of Control

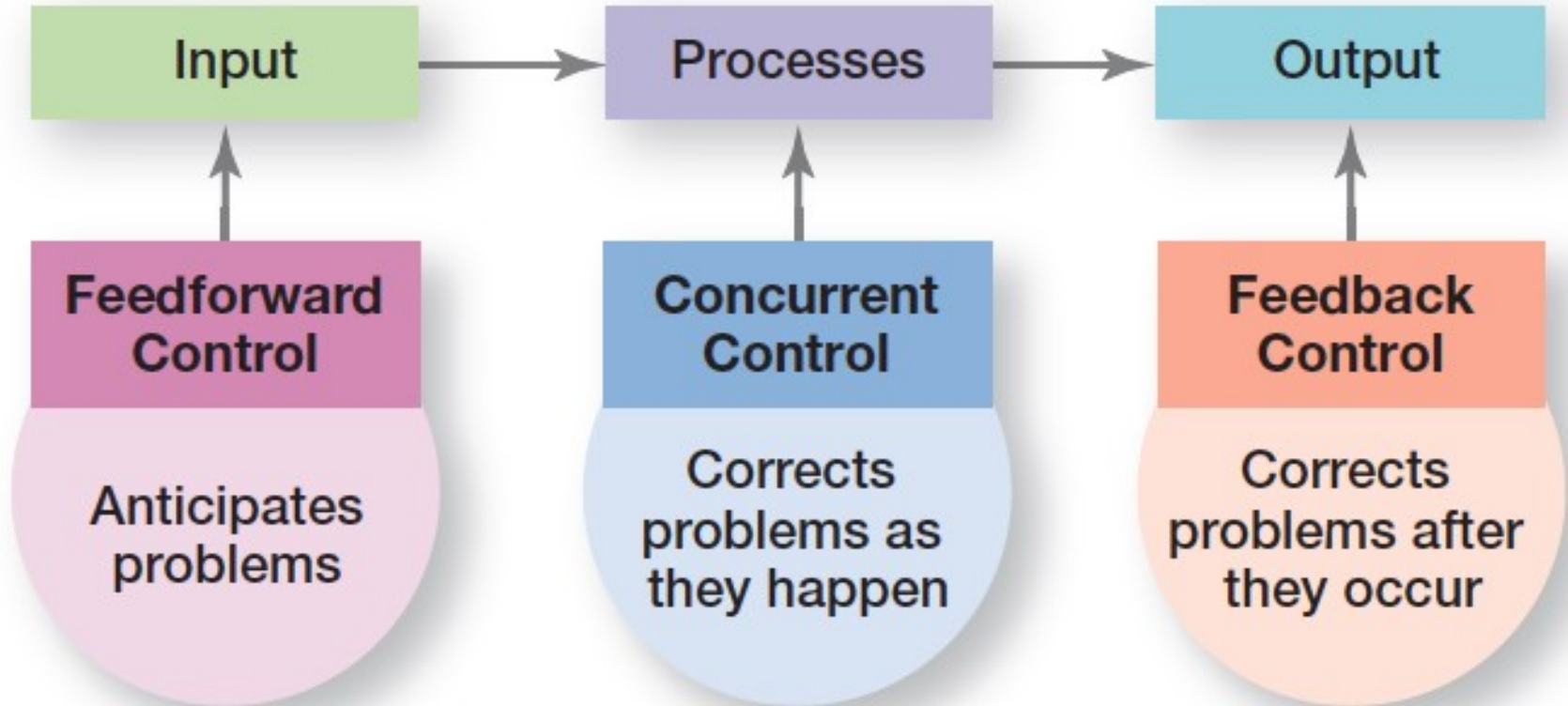


Exhibit 18-9 shows the three kinds of control

Information Controls

- **Management information system (MIS):** a system used to provide management with needed information on a regular basis



Balanced Scorecard

- **Balanced scorecard:** a performance measurement tool that looks at more than just the financial perspective





Benchmarking of Best Practices

- **Benchmark:** the standard of excellence against which to measure and compare



Workplace Privacy

- Employers can read your e-mail, tap your telephone, monitor your work by computer, store and review computer files.
 - Reasons companies monitor:
 - Productivity/Internet traffic
 - Concerns about offensive/inappropriate material
 - Protecting company secrets
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Employee Theft

- **Employee theft:** any unauthorized taking of company property by employees for their personal use

Types of Discipline Problems and Examples of Each

Problem Type	Examples of Each
Attendance	Absenteeism, tardiness, abuse of sick leave
On-the-Job Behaviors	Insubordination, failure to use safety devices, alcohol or drug abuse
Dishonesty	Theft, lying to supervisors, falsifying information on employment application or on other organizational forms
Outside Activities	Criminal activities, unauthorized strike activities, working for a competing organization (if no-compete clause is part of employment)



Controlling for Employee Performance

- **Disciplinary action:** actions taken by a manager to enforce the organization's work standards and regulations



Thank you
